

other two were purchased in 2021 and 2022, respectively. “Since my cars are out of warranty, I bear the expenses from my pocket,” he says. “If you read the manual of E10 cars, it says you should not use ethanol-blended petrol above E10. If this is what the manual says, how can anyone assume these cars will not face problems due to E20?” he asks.

SIAM, while responding to the Ministry of Petroleum and Natural Gas’ proposal for ethanol blending in 2020, said non-availability of E10 fuel after E20 implementation is a safety issue and a critical concern for existing pool of vehicles. “This may cause material degradation, which could lead to fuel seepage/leakage and, hence, a safety issue. Besides, fuel efficiency loss and poor drivability, especially for low-powered 2W, will not be acceptable to the customer,” it said. “E10 availability for existing vehicles/customers is a must and SIAM would strongly recommend dispensing of E10 fuel even after the E20 deployment.”

In 2014, ethanol blending in petrol was 1.53%. In 2022, it was 10%. India achieved the 20% target in July 2025, five years ahead of the 2030 deadline. With the West Asia war causing a spike in crude oil prices, the government is planning to double down on ethanol by mandating 25% blending before the end of the decade.

THE OPTION

Indian policymakers who cite Brazil as an example of a successful ethanol programme ignore that over 80% of cars in the south American nation are flex-fuel vehicles. In contrast, India has a large legacy fleet originally engineered for lower ethanol blends. In Brazil, the transition to higher blends happened over three decades.



AVIATION FUEL ECONOMICS

► This April, the government cleared a regulatory framework that allows ethanol blending in aviation turbine fuel (ATF). India has a mandate for 1% Sustainable Aviation Fuel (SAF) by 2027 under the International Civil Aviation Organization’s CORSIA Scheme that begins binding offsets in 2027. Air India has signed an MoU with IOCL for SAF while IndiGo has a public commitment of 10% SAF blending by 2030. BPCL and MRPL are working to add SAF units in existing refineries.

According to IATA, SAF is three times costlier than conventional jet fuel, making widespread adoption financially challenging for airlines. For airlines in India, which typically operate on narrow profit margins, this steep cost differential is a serious obstacle to adoption, finds a KPMG report.

India has significant potential to emerge as

a global leader in SAF production due to by its vast and varied biomass resources. It produces over 500 MMT agricultural residue annually, including crop stubble, oilseed byproducts and sugarcane bagasse, which serve as high potential feedstocks for biofuel conversion.

But scaling SAF production requires a well-integrated and reliable supply chain. Seasonal fluctuations, logistical inefficiencies and competition with food crops often disrupt the quality of feedstock. The lack of robust collection systems for agricultural residue and used cooking oil also limit feedstock availability.

SAF production demands significant investment in physical infrastructure. At present, India is working towards establishing biorefineries and advanced blending facilities capable of processing diverse feedstock at scale.

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